NO. 18-0358

In the Supreme Court of Texas
Judicial Panel on Multidistrict Litigation

IN RE TEXAS OPIOID LITIGATION

DISTRIBUTOR DEFENDANTS' JOINT MOTION TO TRANSFER AND REQUEST FOR IMMEDIATE STAY AND JOINDER IN MANUFACTURERS' JOINT MOTION TO TRANSFER

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I. INTRODUCTION

Defendants AmerisourceBergen Drug Corporation[1], McKesson Corporation, and Cardinal Health, Inc. (collectively, "Distributor Defendants") respectfully move this Court, pursuant to Tex. Gov't Code § 74.162 and Tex. R. Jud. Admin. 13.3, to transfer all pending Texas opioid-related cases listed in Appendix A, as well as any future-filed tag-along actions, to a single court for coordinated pretrial proceedings. Distributor Defendants further move the Panel to stay all related district court proceedings in the Texas opioid actions pending consideration of this Motion to Transfer.

Transfer of the Texas opioid-related cases listed in Appendix A and any related tag-along actions to a single pretrial district court for consolidated or coordinated pretrial proceedings will be for the convenience of the parties and witnesses, conserve the resources of the courts and the parties, avoid duplicative and repetitive discovery, avoid likely inconsistent or conflicting pretrial rulings, and promote the just and efficient conduct and resolution of the Texas opioid-related actions. Separate pretrial proceedings across multiple counties virtually assure repeated litigation of the same or similar issues, inconsistent and conflicting pretrial rulings on those issues, and wasteful and unnecessary duplication of effort by the parties and multiple courts. Tex. Gov't Code § 74.162 and Tex. R. Jud. Admin. 13 were intended to avoid just those results.

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[1] AmerisourceBergen Corporation ("ABC") has been improperly named as a defendant on the face of the Petition in seven of the eight opioid-related cases that have been filed and served thus far in Texas state court. ABC is not a wholesale distributor of prescription medications and is therefore not a proper defendant in these cases and should be voluntarily dismissed. The proper defendant which has been named in two of the eight opioid related cases (Hopkins and Travis Counties) is AmerisourceBergen Drug Corporation ("ABDC") which is a wholesale distributor of prescription medications. ABDC is therefore the appropriate moving defendant throughout this Motion. ABC joins with ABDC in this Motion, but does not concede that it is a proper party to any of the pending actions, and it is not.

[2] The Manufacturer Defendants filing the Motion are Purdue Pharma L.P., Purdue Pharma Inc., The Purdue Frederick Company, Inc., Allergan Finance, LLC f/k/a Actavis, Inc. f/k/a Watson Pharmaceuticals, Inc., Johnson & Johnson, Janssen Pharmaceuticals, Inc., Ortho-McNeil-Janssen Pharmaceuticals, Inc. n/k/a Janssen Pharmaceuticals, Inc., Janssen Pharamceutica, Inc. n/k/a Janssen Pharmaceuticals, Inc., AbbVie Inc., Knoll Pharmaceutical Company, a wholly-owned

The Manufacturer Defendants[2] filed a Joint Motion to Transfer and Request for Immediate Stay on April 20, 2018. Distributor Defendants join in the Manufacturers' motion and incorporate the arguments and authorities set forth in that motion in accordance with Texas Rule of Appellate Procedure 9.7. As set forth below, Distributor Defendants elaborate on the arguments with respect to the claims made against the Distributor Defendants.

II. BACKGROUND

There are hundreds of federal actions pending nationwide in which governmental entities like the Plaintiff Counties here have sued pharmaceutical manufacturers and distributors related to opioid medications. Generally, the Plaintiff Counties allege they have sustained harm and money damages because pharmaceutical manufacturers ("Manufacturer Defendants"), including those named in this case, engaged in misleading marketing practices related to their FDA-approved opioid medications and because pharmaceutical distributors ("Distributor Defendants"), including those named in this case, unreasonably failed to restrict sales to certain customers.

A. The Federal MDL

On December 5, 2017, the United States Joint Panel on Multidistrict Litigation ("JPML") transferred over 60 of these opioid-related actions to a nation-wide federal multidistrict litigation ("MDL") in the United States District Court for the Northern District of Ohio for coordinated proceedings. *See In re Nat'l Prescription Opiate Litig.*, MDL No. 2804, 2017 WL 6031547, at **3-5. (Doc. 328-Dec. 5, 2017 Transfer Order) (J.P.M.L. Dec. 5, 2017).

Since that time, the number of cases transferred or conditionally transferred to the federal MDL has grown substantially. To date, there have been approximately 45 opioid-related actions filed by Texas Counties in either federal or

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subsidiary of AbbVie Inc., Endo Health Solutions, Inc., Endo Pharmaceuticals Inc., Watson Laboratories, Inc., Actavis LLC and Actavis Pharma, Inc. f/k/a Watson Pharma, Inc.

state court in Texas. The great majority of those cases have been filed in federal court and have been transferred or conditionally transferred to the federal MDL.

B. State Court MDLs

Recognizing the advantages of judicial economy, convenience of the parties and consistent pretrial rulings made possible by coordinated proceedings in matters such as these, state courts in New York, Connecticut, Pennsylvania, and Illinois have ordered state-wide coordinated proceedings for opioid-related cases pending in those states. *See, e.g., In re Opioid Litig.*, Index No. 400000/2017 (N.Y. Sup. Ct. Suffolk County), Order (July 17, 2017).

The federal MDL and these parallel state court coordinated proceedings were established for the same reasons that a Texas state MDL proceeding is appropriate here: to avoid conflicting rulings, preserve judicial resources, reduce unnecessary hardship on the parties, and promote a just and efficient result in these proceedings.

C. Texas Cases to Be Transferred to Texas State MDL

Distributor Defendants seek to transfer eight opioid-related cases filed by Texas Counties and pending in Texas state courts as well as additional future cases that are anticipated for coordination in a Texas state MDL.[3] The eight cases are virtually identical.[4] In each case, a Texas Plaintiff County makes allegations against manufacturers and distributors of prescription opioid medications. Generally, each Plaintiff County makes identical allegations against the Manufacturer Defendants claiming that they engaged in misleading marketing of

[3]Those eight cases are listed on the attached Appendix A. In addition to the eight cases listed on Exhibit A, Distributor Defendants are aware of a virtually identical case brought by Harris County which was filed in the 133rd Judicial District Court of Harris County, Texas. Distributor Defendants have attached as Appendix B, a list of parties for each of the eight cases for which consolidation is sought.

[4]Distributor Defendants have attached the Petition for each of those eight cases as follows: *Dallas,* attached as Appendix C; *Delta,* attached at Appendix D; *Falls,* attached as Appendix E; *Hopkins,* attached as Appendix F and *Van Zandt,* attached as Appendix G (all filed by Simon Greenstone Panatier Bartlett, P.C.). The *Travis* Petition, attached as Appendix H, was filed by the Lanier Law Firm and other Plaintiffs' counsel. The Lanier Law Firm also represents Dallas County. Distributor Defendants have also attached Petitions for *Maverick*, attached as Exhibit I and *Hidalgo*, attached as Exhibit J.

prescription opioid medications by overstating the benefits and downplaying the risks of the use of the opioids they manufactured and aggressively marketed (directly and through key opinion leaders) to physicians.[5] Each Plaintiff County alleges that the Distributor Defendants failed to monitor, detect, investigate, refuse and report suspicious orders of prescription opiates.[6]

III. ARGUMENT AND AUTHORITIES

The requirements for transfer of Texas civil cases to a single court for consolidated pretrial proceedings are set out in Tex. Gov't Code § 74.162 (Transfer of Cases by Panel) which provides as follows:

> Notwithstanding any other law to the contrary, the judicial panel on multidistrict litigation may transfer civil actions involving one or more common questions of fact pending in the same or different … district courts to any district court for consolidated or coordinated pretrial proceedings, including summary judgment or other dispositive motions, but not for trial on the merits. A transfer may be made by the judicial panel on multidistrict litigation on its determination that the transfer will:
>
> (1) be for the convenience of the parties and witnesses; and
>
> (2) promote the just and efficient conduct of the actions.

See also Tex. R. Jud. Admin. 13. Neither Section 74.162 nor Texas Rule of Judicial Administration 13 require any minimum number of cases before the Panel may order consolidation for pretrial coordination under Rule 13. *In re Standard Guar. Ins. Co.*, 339 S.W.3d 398, 400 (Tex. M.D.L. Panel 2009) (this Panel

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[5] *See, e.g., Dallas* Petition, at ¶¶ 8-12, 43-44, 49-58 and 140-141, attached as Appendix C; *Delta* Petition, at ¶¶ 8-12, 41-42, 48-56 and 144-145, attached as Appendix D; *Falls* Petition, at ¶¶ 9-12, 40-55 and 131-132, attached as Appendix E; *Hopkins* Second Amended Petition, at ¶¶ 10-15, 53-73, 117-121 and 254, attached as Appendix F; *Van Zandt* Petition, at ¶¶ 9-12, 40-55, 129 and 131, attached as Appendix G; *Travis* Petition, at ¶¶ 10-13, 41-56 and 134, attached as Appendix H; *Maverick* Petition, at ¶¶ 14-17, 179-192, 222-231 and 693 attached as Exhibit I and *Hidalgo* Petition, at ¶¶ 10-13, 50-64 and 132 attached as Exhibit J.

[6] *See, e.g., Dallas* Petition, at ¶¶ 13-14, 191-192 and 201-203, attached at Appendix C; *Delta* Petition, at ¶¶ 13-14, 195-196 and 205-207, attached at Appendix D; *Falls* Petition, at ¶¶ 13-14, 182-183 and 193-194, attached at Appendix E; *Hopkins* Second Amended Petition, at ¶¶ 17-18, 275, 280-283, 301-302, 338, 344, 349-350 and 355-358, attached at Appendix F; *Van Zandt* Petition, at ¶¶ 13-14, 182-183 and 192-194, attached at Appendix G; *Travis* Petition, at ¶¶ 14-15, 185-186 and 195-196, attached at Appendix H; *Maverick* Petition, at ¶¶ 94-128 and 734-735, attached as Exhibit I and *Hidalgo* Petition, at ¶¶ 14-15, 183-184 and 193-195, attached as Exhibit J.

transferred three cases because discovery in the cases would be voluminous and virtually identical); *see also In re Vanderbilt Mortg. & Fin., Inc.*, 166 S.W.3d 12, 14 (Tex. M.D.L. Panel 2005) ("While relevant, the number of pending cases and parties is not directly determinative of the necessity for pretrial transfer."). As set out below, the Texas state court opioid cases sought to be transferred satisfy the requirements of Section 74.162 and should be transferred to a single pretrial court pursuant to Rule 13.

A. The Texas opioid cases involve one or more common questions of fact.

Section 74.162 requires that the cases to be consolidated involve "one or more common questions of fact." *See also* Tex. R. Jud. Admin. 13.3(a)(1) (requiring the motion to transfer to "state the common question or questions of fact involved in the cases"). The JPML's December 5, 2017 Transfer Order establishing the federal MDL recognized the common questions of fact warranting the transfer of numerous opioid-related cases, which are essentially identical to those sought to be transferred here, to a single federal court:

> All of the actions can be expected to implicate common fact questions as to the allegedly improper marketing and widespread diversion of prescription opiates into states, counties and cities across the nation, and discovery likely will be voluminous. Although individualized factual issues may arise in each action, such issues do not – especially at this early stage of litigation – negate the efficiencies to be gained by centralization.

In re Nat'l Prescription Opiate Litig., 2017 WL 6031547, at *2. *See also In re Digitek ® Litig.*, 387 S.W.3d 115, 116 (Tex. M.D.L. Panel 2009).

In the opioid-related cases involved here, Plaintiffs' allegations in each case are virtually identical. The claims made by Plaintiff Counties against the Manufacturer Defendants are virtually identical from one case to the next, as are the claims made by Plaintiff Counties against the Distributor Defendants. Each Plaintiff County alleges that the Manufacturer Defendants engaged in misleading marketing of prescription opioid medications, overstated the benefits of opioid medications, and understated the risks of addiction to the opioids they

manufactured and purportedly marketed through key opinion leaders. Each Plaintiff County alleges that the Distributor Defendants failed to monitor and restrict sales of opioids to certain customers and violated the Texas Controlled Substances Act ("TCSA"). There are also common questions related to the applicability of TCSA to the Distributor Defendants. Similarly, the nature and description of damages sought by each Plaintiff County, as well as their standing to seek such damages, are indistinguishable from case to case.

This Panel previously concluded that product liability claims against seven pharmaceutical defendants involved common questions of fact because they involved the same medication and the plaintiffs alleged the same injuries. *In re Digitek ® Litig.*, 387 S.W.3d at 116-17 ("[A]ssigning a pretrial judge [would] help eliminate duplicative discovery, minimize conflicting demands on witnesses, and prevent inconsistent decisions."). For the same reasons, these cases involve common questions of fact.

Although the named defendants differ slightly among the eight cases to be consolidated, those differences are minor. A cursory review of Appendix B-1 through B-8 demonstrates the near total congruence of the named defendants, both Manufacturers and Distributors, from case to case. This Panel has held that if the claims, factual allegations, and legal issues overlap, minor differences among named defendants do not prevent pretrial consolidation under Rule 13. *In re Hurricane Rita Evacuation Bus Fire*, 216 S.W.3d 70, 72 (Tex. M.D.L. Panel 2006) (cases from same incident consolidated even though defendants, expert witnesses and damage calculations would be different); *In re Ocwen Loan Servicing, LLC Mortg. Servicing Litig.*, 286 S.W.3d 669, 672 (Tex. M.D.L. Panel 2007) (cases consolidated even though only one of the defendants was named in all of the actions).

B. Pretrial consolidation will be for the convenience of the parties and witnesses, conserve resources of the courts and the parties, improve efficiencies and avoid inconsistent rulings.

Pretrial consolidation is appropriate when it will "(1) eliminate duplicative and repetitive discovery, (2) minimize conflicting demands on witnesses, (3) prevent inconsistent decisions on common issues, and (4) reduce unnecessary travel." *In re State Farm Lloyds Hurricane Ike Litig.*, 392 S.W.3d 353, 355-56 (Tex. M.D.L. Panel 2012). *See also In re Digitek ® Litig.*, 387 S.W.3d at 116-17.

1. Elimination of redundant written and document discovery.

Because these cases raise common legal and factual questions, it is axiomatic that discovery requests between the parties will be similar, if not identical. *In re Digitek ® Litig.*, 387 S.W.3d at 117 (discovery would be repetitive because multiple suits dealt with the same medication). Pretrial discovery coordination is critical to ensure that discovery is focused on relevant issues, to avoid duplication, to prevent inconsistent discovery rulings as set out below, and conserve the resources of the courts and the parties. *See In re Delta Lloyds Ins. Co. of Hous.*, 339 S.W.3d 384, 389 (Tex. M.D.L. Panel 2008).

2. Coordinating the cases would ease demands on witnesses.

The Texas opioid cases will almost certainly involve many of the same fact, expert, and non-party witnesses. Judicial efficiency demands that repetitive depositions of the same witnesses be avoided. "[I]t is undeniable that it is more convenient for witnesses and parties who find themselves involved in several related cases to litigate in one pretrial court instead of several." *In re Silica Prods. Liab. Litig.*, 166 S.W.3d 3, 5 (Tex. M.D.L. Panel 2004). Pretrial consolidation to allow coordination of deposition discovery will minimize repetition and inconvenience to the witness and reduce costs for all parties.

3. An MDL will ensure consistent pretrial rulings.

If these cases are not coordinated, seven different state court judges[7] and their staff will devote significant time to cases which involve substantially the same factual and legal issues. It is very likely that dispositive motions and motions regarding exclusion of experts, as well as Rule 91a motions to dismiss will be filed in these cases. These motions will involve similar legal and factual issues, and the potential for inconsistent rulings is high.

The Rule 91a motions to dismiss which have now been filed in most, if not all cases, are a good example. These motions involve important issues such as standing, preemption and the "Municipal Cost Recovery Rule" (also called the "Free Public Services Doctrine"), any one of which may be dispositive of all of these cases. Coordination of these important, and in many instances, dispositive motions will mitigate the likelihood of inconsistent rulings and promote efficiency and uniformity across the litigation.

Because many, if not most of the issues in the Texas opioid cases involve one or more common questions of fact, there will certainly be common discovery in these cases. Therefore, there is a risk of inconsistent discovery rulings in addition to the substantive legal rulings. Discovery is likely to involve confidential business information ("CBI") as well as proprietary and confidential information of both Plaintiffs and Defendants. Just as with the substantive legal issues, consistency is extremely important and consolidation into a single pretrial court is likely to allow consistency in discovery rulings, including those regarding sensitive, proprietary and/or confidential information. *See In re Deep S. Crane & Rigging Co.*, 339 S.W.3d 395, 397 (Tex. M.D.L. Panel 2008) ("[S]ingle pretrial judge would be in a better position to protect the [information's] confidentiality.").

4. Coordinating the cases would minimize travel.

Consolidated MDL proceedings are likely to minimize the necessity that the parties and witnesses travel to multiple counties to address the same issues. *In re*

[7]While there are eight different opioid cases sought to be consolidated, the Hopkins and Delta County cases are before the same Judge who "rides circuit" between multiple Counties.

State Farm Lloyds Hurricane Ike Litig., 392 S.W.3d at 356. Absent consolidation, counsel for all parties will be required to attend hearings on identical issues, and counsel as well as witnesses, including non-party witnesses will be required to travel to multiple counties for depositions. This expensive and inefficient result is unnecessary and can be largely avoided by pretrial consolidation.

5. Consolidating cases currently pending in Texas state district courts will facilitate coordination with the federal opioid MDL.

Consolidation of the cases currently pending in the district courts of various Texas Counties will facilitate coordination of these proceedings with the federal MDL proceedings in *In re Nat'l Prescription Opiate Litig.*, MDL No. 2804. Coordination of MDL pre-trial proceedings in state and federal MDL court, in addition to coordination of the various cases pending in Texas state courts, likewise furthers the purpose of Texas Rule of Judicial Administration 13 to promote efficiency and protect against inconsistent determinations. Indeed, this Panel has issued transfer orders in several cases in which a nationwide MDL proceeded on a parallel track in federal court. *E.g.*, *In re Volkswagen Clean Diesel Litig.*, 516 S.W.3d 704, 705 (Tex. M.D.L. Panel 2016); *In re Digitek ® Litig.*, 387 S.W.3d 115, 118 (Tex. M.D.L. Panel 2009); *In re Toyota Unintended Acceleration Litig.*, 398 S.W.3d 892 (Tex. M.D.L. Panel 2010). Coordination and comity between the federal and state court proceedings therefore would be furthered by transfer by this Panel of the pending cases to a Texas MDL.

All of the Tex. Gov't Code § 74.162 and Tex. R. Jud. Admin. 13 requirements for pretrial consolidation are satisfied and the eight Texas opioid-related cases as well as any subsequent "Tag Along" cases, should be transferred to an MDL pretrial court.

IV. REQUEST FOR IMMEDIATE STAY

Pursuant to Rule 13.4(b) of the Texas Rules of Judicial Administration, Defendants further request a stay of all trial court proceedings, including responsive pleading deadlines, discovery, and hearings, in the Texas opioid actions until a ruling is made by this Panel and, if granted, until the transferee judge can hold an initial status conference. A stay will protect Plaintiffs and Defendants from duplicative discovery requests, at least until this Panel rules on the motion to transfer. In addition, without a stay, Defendants would likely have to continue to file individual responsive pleadings and the parties would likely be required to file and prosecute motions before multiple judges across the state of Texas. In fact, Texas Rule of Civil Procedure 91a motions to dismiss have been filed by the Manufacturing Defendants, the Distributor Defendants, or both in several of these pending matters, and are currently set for hearing on the following dates:

- Hopkins May 3, 2018
- Dallas May 10, 2018
- Delta May 18, 2018
- Falls May 22, 2018

Given the imminent hearing dates on these critical issues, entry of a stay bears particular importance.

V. CONCLUSION

Distributor Defendants pray that this Panel grant their Motion to Transfer the Texas opioid-related actions listed on Appendix A and any future tag-along actions to an MDL pretrial court for coordinated pretrial proceedings and discovery and that the Panel issue an order, pending its ruling on this Motion, to stay all Texas opioid cases currently pending and any future tag-along actions added to this Motion. Defendants also pray for such other and further relief to which they may be justly entitled.

Dated: May 1, 2018

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that, on May 1, 2018, a true and correct copy of this DISTRIBUTOR DEFENDANTS' JOINT MOTION TO TRANSFER AND REQUEST FOR IMMEDIATE STAY AND JOINDER IN MANUFACTURERS' JOINT MOTION TO TRANSFER was served through the electronic filing system to all counsel of record.

/s/ Robert Scott
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